

Where India Stands In ELECTRONICS MANUFACTURING SERVICES



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Growth of the EMS industry is the most critical factor in kick-starting Make in India in electronics, as more developed the EMS industry is, the faster and easier it will be for large OEMs to set up manufacturing operations. Here is a sneak-peak at the Indian EMS market

The Indian electronics system design and manufacturing (ESDM) industry is on track towards achieving its full potential in terms of manufacturing and designing capabilities. A significant milestone in achieving global reputation as a manufacturing hub, India's domestic electronics production for the first time increased beyond imports in 2016-17.

According to government sources, domestic production of electronic goods for 2016-17 stood at US\$ 49.5 billion—higher than the US\$ 43 billion spent on imports. This seems to be an early signal indicating that Make in India initiative is beginning to make inroads towards improving the state of domestic manufacturing. Favourable business policies for the domestic electronics sector have undoubtedly played their part, particularly in facilitating the setting up of manufacturing facilities of smartphones, set-top boxes, televisions and other appliances.

Local brands under Make in India initiative as well as global manufacturers are looking to relocate their manufacturing base from China to alternate locations such as India, Vietnam and Indonesia due to mounting labour costs. Thus, India as a manufacturing destination has witnessed renewed interest among global as well as domestic electronics manufacturers.

This, in turn, offers a huge opportunity for the Indian electronics manufacturing ser-

Methodology

The research methodology adopted to collate quantitative and qualitative information about the EMS sector in India began with secondary research. Further, findings were analysed and verified through primary research by conducting extensive interviews with some key industry experts. This sample group is a microcosmic representation of India's EMS industry ecosystem. These senior professionals shared their insights on:

1. Major growth drivers of EMS industry in India
 2. Key application sectors
 3. Strategies to get competitive advantage
 4. Importance of turnkey manufacturing services to expand businesses in India
 5. Need for original design manufacturing in India
 6. Possible demand for reverse logistics services (repair, rework, refurbishment, etc)
 7. Challenges faced by EMS companies in India
- A trend analysis was done based on their inputs.

vice (EMS) sector. Over the next five years, accelerated local manufacturing of electronic products to cater to growing domestic demand will drive the market for the EMS sector in India.

Opportunities galore

The EMS market in India will be highly dynamic in the coming year, since India promises to emerge as a hotspot for electronics manufacturing among existing South-Asian nations. This is due to benefits such as low operating costs and low competitive scenario, which provide ample potential for penetration by original equipment manufacturers (OEMs) and EMS across different sets of verticals.

Survey participants indicate that the top three growth driving application sectors (Fig. 1) that will need EMS providers in the country are:

1. Consumer electronics
2. Telecom and mobile devices
3. LED lighting

